Singapore Company Update

UOB

Bloomberg: UOB SP | Reuters: UOBH.SI

Refer to important disclosures at the end of this report

DBS Group Research . Equity

7 May 2025

HOLD

Last Traded Price (7 May 2025): SGD34.49 (STI : 3,865.37)
Price Target 12-mth: SGD32.70 (5% downside)

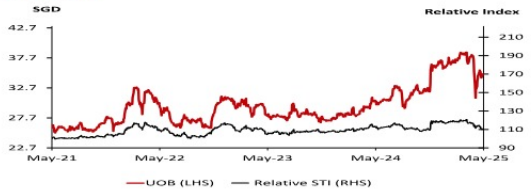
Analysts

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What's New

- 1Q25 revenue was in line while net profit was slightly below consensus
- Non-interest income rose 7% y/y, 24% q/q with record-high fee income and stronger customer treasury income
- 1Q25 credit cost rose q/q to 35bps, driven by increased general allowances amidst uncertainty
- Maintain HOLD, TP SGD32.70

Price Relative



Forecasts and Valuation

FY Dec (SGDmn)	2023A	2024A	2025F	2026F
Pre-prov. Profit	7,691	7,956	8,279	8,462
Net Profit	5,711	6,045	6,143	6,252
Net Pft (Pre Ex.)	6,061	6,233	6,143	6,252
Net Pft Gth (Pre-ex) (%)	25.8	2.8	(1.4)	1.8
EPS (S cts)	339	359	364	371
EPS Pre Ex. (S cts)	360	370	364	371
EPS Gth Pre Ex (%)	26	3	(1)	2
Diluted EPS (S cts)	339	359	364	371
PE Pre Ex. (X)	9.6	9.3	9.5	9.3
Net DPS (S cts)	170	179	186	189
Div Yield (%)	4.9	5.2	5.4	5.5
ROAE Pre Ex. (%)	13.5	13.0	12.0	11.5
ROAE (%)	12.7	12.6	12.0	11.5
ROA (%)	1.1	1.1	1.1	1.1
BV Per Share (S cts)	2,742	2,950	3,128	3,310
P/Book Value (x)	1.3	1.2	1.1	1.0
Earnings Rev (%):			0	0
Consensus EPS (S cts):			363	376
Other Broker Recs:		B: 14	S: 0	H: 4

Source of all data on this page: Company, DBS, Bloomberg

Uncertainty persists

Investment Thesis:

Growing an enlarged franchise. UOB's acquisition of Citigroup's consumer businesses in Indonesia, Malaysia, Thailand, and Vietnam allows it to accelerate, scale up, and deepen its ASEAN franchise, the effective execution of which remains key to long-term synergies. Integration is on track, as UOB continues to leverage on an enlarged base of ~8.5mn customers.

Sequential impact from an escalating trade war environment. We believe there are downside risks to earnings in an escalating trade war environment given the huge and broad US tariffs. Furthermore, UOB has the largest ASEAN exposure amongst Singapore banks, with 82% of group profit before tax derived from ASEAN. Amid macroeconomic uncertainties, management has paused its 2025 guidance. C.10% of its loans pertain to trade loans.

Keeping watch on asset quality. We remain watchful of asset quality risks in an environment of slower global growth amidst concerns of accelerating Fed cuts, on top of UOB's commercial real estate (CRE) exposures. UOB's average loan-to-value (LTV) for office CRE continues to be ~50%, providing a buffer in the event underlying collateral valuations collapse. Admist macroeconomic uncertainty, management has increased its general provisions, resulting in credit costs rising q/q to 35bps in 1Q25 (4Q24: 25bps) and will target general allowances/total loans at 0.9% (1Q25: 0.8%) by increasing general allowances sequentially.

Maintain HOLD, TP SGD32.70. We maintain HOLD with TP of SGD32.70, based on the Gordon Growth Model (12% ROE, 3% growth, and 11% cost of equity), representing ~1.0x FY26F, slightly below the average of UOB's 15-year historical forward P/BV multiple. We believe valuations will reflect an environment of slower growth and accelerating rate cuts going forward.

Key Risks

Deteriorating asset quality. Higher-than-expected non-performing loans (NPLs), high inflationary pressure, and recessionary risks could unwind expectations of credit cost and NPL declines, thus posing risks to earnings. A downturn in the credit cycle typically leads to a decline in banks' share prices.

Fed cuts. Faster-than-expected Fed cuts also pose downside risks to our earnings estimates.

At A Glance

Issued Capital (mn shrs)	1,672
Mkt. Cap (SGDmn/USDmn)	57,655 / 44,364
Major Shareholders (%)	
Wee Investments Pte	8.0
Wah Hin & Co Pte Ltd	5.2
Free Float (%)	86.9
3m Avg. Daily Val (USDmn)	104.3
GIC Industry : Financial / Banks	

DBS Insights Direct

Watchlist the stock on Insights Direct to receive prompt updates

ed: BM/ sa: DT, PY, CS

WHAT'S NEW

Management suspends 2025 guidance

1Q25 revenue was in line with expectations, while net profit was slightly below consensus. Revenue came in at SGD3,657mn (+4% y/y, +6% q/q), while net profit was SGD1,490mn (flat y/y, -2% q/q). Net interest income (NII) was SGD2,409mn (+2% y/y, -2% q/q) with the impact of a shorter quarter more than offseting healthy loan growth. Net interest margin (NIM) remained stable q/q at 2% due to proactive balance sheet management. Operating costs improved modestly to SGD1,559mn (-1% y/y, -1% q/q), leading to a lower cost-to-income (C/I) ratio of 42.6% (4Q24: 45.6%).

Non-interest income rose 7% y/y, 24% q/q. Net fee income came in at a record high of SGD694mn (+20% y/y, +22% q/q), supported by record-high loan fees as well as healthy wealth and card fees momentum. Other non-interest income of SGD554mn (-5% y/y, +25% q/q) was driven by stronger customer treasury income and good performance from trading and liquidity management activities.

Higher credit costs of 35bps due to prudent general provisions; NPL ticked up to 1.6%. 1Q25 credit cost rose q/q to 35bps (4Q24: 25bps) driven by an increase in general provisions (GP) amid macro uncertainties. Total loan provisions amounted to SGD290mn, 35bps (4Q24: SGD212mn, 25bps), including general provisions (stage 1+2): SGD156mn, 16bps (4Q24: -SGD227mn, -27bps) and specific provisions (stage 3): SGD133mn, 19bps (4Q24: SGD439mn, 52bps). New non-performing asset (NPA) formation declined q/q to SGD400mn (4Q24: SGD514mn, average of SGD353mn for last four quarters). NPL ratio increased slightly to 1.6% (4Q24:1.5%).

Management maintained a prudent stance and reaffirmed its capital distribution commitment. UOB will resume its 2025 guidance when the situation stabilises. However, management highlights that pockets of opportunities can be found amid uncertainties, citing ongoing China-ASEAN and intra-ASEAN trade flows, growing demand for hedging from clients, and a healthy pipeline of infrastructure financing. UOB remains committed to its SGD3bn capital distribution plan.

Takeaways from management briefing

On suspension of guidance and outlook: UOB has suspended its 2025 guidance as management evaluates the impact from US Liberation Day. A deep-dive review into the impact of the first order of trade tariffs concluded that there is very minimal impact to UOB's portfolio. Since US Liberation Day, UOB has not seen any significant drop off or spikes in activity while acknowledging that there could be noise in the data due to frontloading of trade activities and capex decisions, and some impact may not flow through until 2Q25 or 2H25. Management does not expect a major credit crunch or tightening of credit conditions. While UOB's previous target of achieving ROE >13% by 2026 no longer holds, management still remains positive about ASEAN in the long term.

Loans: Trade loans comprise 10% of total loans, of which 80% are related to intra-Asia trade. 2% of customers have relatively high exports to the US, which requires further monitoring and is marked as medium to high risk. Management has indicated that it is safe to assume trade and loan growth will face downward pressure, though some customers may take advantage of opportunities that emerge. Trade finance activity remained relatively stable in April. Meanwhile, 10% of the bank's total loan book is SME loans.

Asset quality: Management expects some uptick in asset quality through FY25F. Macroeconomic (MEV) adjustments due to changes in underlying assumptions were not reflected in 1Q25. Management will continue to build an additional GP buffer within reasonable range in subsequent quarters, whenever specific provisions are below 19bps (1Q25 levels), and targets GP/total loans at 90bps (current: 80bps), though there is no exact timing on fulfilment. New NPA formation of SGD400mn relates to one big Hong Kong property-based loan which has been provided for. Management noted that credit costs peaked at 50-60bps during COVID-19 and believes asset quality will not be worse than during COVID-19.

NIM: Sensitivity of NIM to rate cuts has further declined to 1.2bps per 25bps cut in the Fed rate (previous: 1.6bps). Management still assumes three rate cuts in 2025. Exit NIM was 1.98%. Management is trying to maintain NIM at ~2% as best as possible, as it has been proactive in managing wholesale deposits and retail deposit account rates, with tools in place to proactively manage NIM.

Non-interest income: High loan/trade-related fees arose from higher investment banking fees and one particular chunky syndication loan. Net new money is ~SGD1.5-2bn. Assets under management (AUM) was broadly stable in 1Q25 as net new money was offset by market activities. April saw some fluctuations in equities triggering marginal margin calls, where all clients topped up, while some switched away from equities. Wealth management fees momentum remained strong, fuelled by robust unit trust and structured product sales and flows into discretionary portfolios.

Capital and dividends: Management reaffirms its commitment to dividends and capital return plan and believes the bank's earnings and capital base will not be eroded in the current cycle. UOB has executed SGD80mn (4% of target) in share buybacks recently, adopting a consistent and disciplined approach, without trying to time the market. If UOB has excess capital beyond its growth needs, management intends to return it to shareholders. No plans for scrip dividends.

Company Background

UOB provides a wide range of financial services through its global network of branches, offices, subsidiaries, and associates: Personal financial services, private banking, commercial and corporate banking, investment banking, corporate finance, capital market activities, treasury services, futures broking, asset management, venture capital management, insurance, and stockbroking services.

Quarterly / Interim Income Statement (SGDmn)

FY Dec	1Q2024	4Q2024	1Q2025	% chg y/y	% chg q/q
Net Interest Income	2,362	2,451	2,409	2.0	(1.7)
Non-Interest Income	1,161	1,010	1,248	7.5	23.6
Operating Income	**3,523**	**3,461**	**3,657**	**3.8**	**5.7**
Operating Expenses	(1,577)	(1,587)	(1,566)	(0.7)	(1.3)
Pre-Provision Profit	**1,946**	**1,874**	**2,091**	**7.5**	**11.6**
Provisions	(163)	(227)	(290)	77.9	27.8
Associates	26.0	40.0	22.0	(15.4)	(45.0)
Exceptionals	(79.0)	(17.0)	0.0	nm	nm
Pretax Profit	**1,730**	**1,670**	**1,823**	**5.4**	**9.2**
Taxation	(243)	(147)	(333)	37.0	126.5
Minority Interests	0.0	0.0	0.0	-	-
Net Profit	**1,487**	**1,523**	**1,490**	**0.2**	**(2.2)**
Growth (%)					
Net Interest Income Gth	(1.7)	(0.4)	(1.7)		
Net Profit Gth	6.0	(5.4)	(2.2)		
Key ratio (%)					
NIM	2.1	2.0	2.1		
NPL ratio	1.5	1.5	1.6		
Cost-to-income	44.8	45.9	42.8		
Total CAR	16.7	18.2	18.2		

Source of all data: Company, DBS

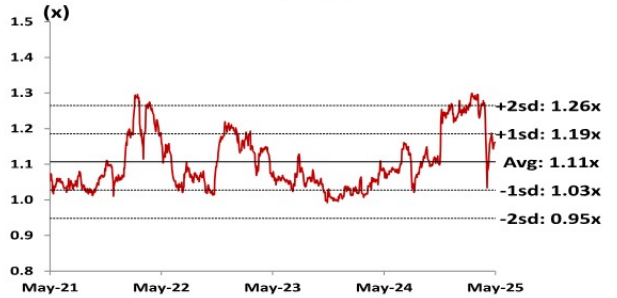
Historical PE and PB band

Forward PE Band (x)



Source: Bloomberg, DBS estimates

PB band (x)



Source: Bloomberg, DBS estimates

Key Assumptions

FY Dec	2022A	2023A	2024A	2025F	2026F
Gross Loans Growth	2.9	0.5	5.2	6.5	6.0
Customer Deposits Growth	4.5	4.6	4.8	5.0	5.0
Yld. On Earnings Assets	2.9	4.8	4.9	4.4	4.3
Avg Cost Of Funds	1.1	2.9	3.0	2.6	2.6

Income Statement (SGDmn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Net Interest Income	8,343	9,679	9,674	9,756	9,727
Non-Interest Income	3,232	4,253	4,620	4,770	5,107
Operating Income	**11,575**	**13,932**	**14,294**	**14,526**	**14,834**
Operating Expenses	(5,284)	(6,241)	(6,338)	(6,247)	(6,372)
Pre-provision Profit	**6,291**	**7,691**	**7,956**	**8,279**	**8,462**
Provisions	(603)	(921)	(926)	(972)	(1,023)
Associates	97.0	93.0	121	121	121
Exceptionals	(246)	(350)	(188)	0.0	0.0
Pre-tax Profit	**5,785**	**6,863**	**7,151**	**7,429**	**7,560**
Taxation	(1,202)	(1,138)	(1,092)	(1,263)	(1,285)
Minority Interests	(10.0)	(14.0)	(14.0)	(22.3)	(22.7)
Preference Dividend	0.0	0.0	0.0	0.0	0.0
Net Profit	**4,573**	**5,711**	**6,045**	**6,143**	**6,252**
Net Profit bef Except	4,819	6,061	6,233	6,143	6,252
Growth (%)					
Net Interest Income Gth	30.6	16.0	(0.1)	0.8	(0.3)
Net Profit Gth	12.2	24.9	5.8	1.6	1.8
Margins, Costs & Efficiency (%)					
Spread	1.8	1.9	1.8	1.8	1.7
Net Interest Margin	1.9	2.1	2.0	1.9	1.8
Cost-to-Income Ratio	45.7	44.8	44.3	43.0	43.0
Business Mix (%)					
Net Int. Inc / Opg Inc.	72.1	69.5	67.7	67.2	65.6
Non-Int. Inc / Opg inc.	27.9	30.5	32.3	32.8	34.4
Fee Inc / Opg Income	18.5	16.0	16.8	18.7	20.6
Oth Non-Int Inc/Opg Inc	9.4	14.5	15.6	14.1	13.8
Profitability (%)					
ROAE Pre Ex.	11.2	13.5	13.0	12.0	11.5
ROAE	10.6	12.7	12.6	12.0	11.5
ROA Pre Ex.	1.0	1.2	1.2	1.1	1.1
ROA	1.0	1.1	1.1	1.1	1.1

Source: Company, DBS

Quarterly / Interim Income Statement (SGDmn)

FY Dec	1Q2024	2Q2024	3Q2024	4Q2024	1Q2025
Net Interest Income	2,362	2,401	2,460	2,451	2,409
Non-Interest Income	1,161	1,075	1,374	1,010	1,248
Operating Income	**3,523**	**3,476**	**3,834**	**3,461**	**3,657**
Operating Expenses	(1,577)	(1,459)	(1,597)	(1,587)	(1,566)
Pre-Provision Profit	**1,946**	**2,017**	**2,237**	**1,874**	**2,091**
Provisions	(163)	(232)	(304)	(227)	(290)
Associates	26.0	31.0	25.0	40.0	22.0
Exceptionals	(79.0)	(64.0)	(28.0)	(17.0)	0.0
Pretax Profit	**1,730**	**1,752**	**1,930**	**1,670**	**1,823**
Taxation	(243)	(327)	(320)	(147)	(333)
Minority Interests	0.0	0.0	0.0	0.0	0.0
Net Profit	**1,487**	**1,425**	**1,610**	**1,523**	**1,490**
Growth (%)					
Net Interest Income Gth	(1.7)	1.7	2.5	(0.4)	(1.7)
Net Profit Gth	6.0	(4.2)	13.0	(5.4)	(2.2)

Balance Sheet (SGDmn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Cash/Bank Balance	49,419	52,350	38,577	40,506	42,531
Government Securities	31,878	38,280	46,851	47,556	48,272
Inter Bank Assets	35,410	35,093	37,432	39,786	42,092
Total Net Loans & Advs.	315,355	317,005	333,930	354,928	375,503
Investment	39,789	50,793	48,472	52,697	57,393
Associates	1,258	1,266	1,302	1,423	1,544
Fixed Assets	3,453	3,782	4,169	1,667	1,667
Goodwill	4,900	4,984	4,979	4,142	4,142
Other Assets	22,798	19,967	21,952	23,332	24,685
Total Assets	**504,260**	**523,520**	**537,664**	**566,037**	**597,830**
Customer Deposits	368,553	385,469	403,978	424,177	445,386
Inter Bank Deposits	24,537	32,371	19,735	23,496	27,183
Debts/Borrowings	40,593	36,280	41,367	41,367	41,367
Others	26,971	22,932	22,627	24,008	27,818
Minorities	240	242	224	246	269
Shareholders' Funds	43,366	46,226	49,733	52,743	55,807
Total Liab& S/H's Funds	**504,260**	**523,520**	**537,664**	**566,037**	**597,830**

Source: Company, DBS

Financial Stability Measures (%)

FY Dec	2022A	2023A	2024A	2025F	2026F
Balance Sheet Structure					
Loan-to-Deposit Ratio	85.6	82.2	82.7	83.7	84.3
Net Loans / Total Assets	62.5	60.6	62.1	62.7	62.8
Investment / Total Assets	7.9	9.7	9.0	9.3	9.6
Cust . Dep./Int. Bear. Liab.	85.0	84.9	86.9	86.7	86.7
Interbank Dep / Int. Bear.	5.7	7.1	4.2	4.8	5.3
Asset Quality					
NPL / Total Gross Loans	1.6	1.5	1.5	1.5	1.5
NPL / Total Assets	1.0	0.9	1.0	1.0	1.0
Loan Loss Reserve Coverage	85.1	85.1	75.5	89.1	101.6
Provision Charge-Off Rate	0.2	0.3	0.3	0.3	0.3
Capital Strength					
Total CAR	16.7	16.6	18.7	16.4	16.5
Tier-1 CAR	13.3	13.4	15.5	13.8	13.9

Source: Company, DBS

Target Price & Ratings 12-mth History



S.No.	Date of Report	Closing Price	12-mth Target Price	Rating
1:	08 May 24	29.88	34.50	BUY
2:	02 Aug 24	31.83	34.50	BUY
3:	08 Nov 24	35.69	37.90	BUY
4:	20 Feb 25	38.43	38.50	BUY
5:	08 Apr 25	32.13	32.70	HOLD

***Note** : Share price and Target price are adjusted for corporate actions.*

Source: DBS

Analysts: Rui Wen LIM

Singapore Research Team

DBS Group Research recommendations are based on an Absolute Total Return* Rating system, defined as follows:
STRONG BUY (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)
BUY (>15% total return over the next 12 months for small caps, >10% for large caps)
HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)
SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

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Sources for all charts and tables are DBS unless otherwise specified.

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